

China's New Decrees and the Implications for India's Electronics Industry

Even as India advances in its transformation into a global electronics manufacturing hub and seeks deeper integration into global electronics supply chains, recent policies issued by China threaten to slow and potentially hamper this progress. This development comes at a time when the Indian electronics sector was anticipating a revival and growth in Chinese investments as the result of the relaxation of Press Note 3 by India in March 2026.

The implementation of Decrees 834 and 835 by China, coming close on the heels of the Press Note 3 amendments by India, raise concerns about China's strategic intentions. The industry and the government now need to work together to implement measures that safeguard India's *Atmanirbhar Bharat* goals.

Decree 834: Regulations on the Security of Industrial and Supply Chains

Decree 834, formally titled *Regulations on the Security of Industrial and Supply Chains*, was issued on 31st March 2026. It came into effect immediately with no transition period. The strategic objectives of the decree appear to be protecting national security and economic stability, reducing vulnerabilities arising from geopolitical tensions, and strengthening control over key technologies and critical sectors.

While the decree does not openly state that it is intended to prevent companies from moving manufacturing outside China, several provisions strongly suggest that discouraging supply-chain diversification and manufacturing relocation away from China is an important underlying objective.

The clearest indicators are Article 14, which allows retaliatory measures against countries or entities taking discriminatory actions affecting China's supply chains. Similarly, Article 15 permits investigations and punitive measures against foreign entities disrupting normal commercial relations or threatening China's supply-chain security.

Taken together, the provisions create legal and regulatory tools that can discourage aggressive China+1 diversification strategies by multinational companies.

Implications for India's Electronics Industry

The decree has significant implications for India's electronics industry, particularly because India remains deeply integrated with Chinese supply chains for components, machinery, chemicals, rare earths, batteries, semiconductors, displays, telecom equipment and manufacturing inputs.

The regulations effectively formalize China's strategy of treating supply chains as a matter of national security. This could lead to tighter Chinese control over strategic supply chains, possible export restrictions on critical materials and components, and increased pressure on India's semiconductor ecosystem.

The decree also increases scrutiny of investigations and data gathering related to supply chains, potentially complicating supply-chain audits, ESG compliance checks, vendor due diligence and technology mapping exercises for multinational companies operating across India and China.

In addition, multinational electronics firms manufacturing in India for Western markets could face conflicting obligations. Western governments are increasingly demanding transparency and de-risking from China, while China's regulations discourage actions viewed as undermining Chinese supply chains.

Decree 835: Regulations on Countering Improper Extraterritorial Jurisdiction by Foreign States

Decree 835, titled *Regulations on Countering Improper Extraterritorial Jurisdiction by Foreign States*, came into effect on 7th April 2026. The primary goals of the decree are to counter foreign sanctions imposed on China,

protect Chinese entities and individuals from foreign sanctions, and create a legal framework to identify and counter foreign extraterritorial measures.

While Decree 835 does not directly target Indian companies, it creates a situation in which they may become caught in an emerging sanctions conflict between Western countries and China. China has now formally declared that it will not tolerate restrictions imposed on it by foreign governments. Countries, companies or individuals complying with such sanctions could potentially face retaliatory action.

An example would be Indian OEMs manufacturing for US companies that are required to comply with UFLPA (Uyghur Forced Labor Prevention Act) requirements, BIS sanctions, export controls and technology restrictions intended to limit China's influence in Western electronics ecosystems. Under Decree 835, companies and individuals complying with such restrictions could potentially face Chinese countermeasures.

The consequences for Indian electronics manufacturing companies and the sector as a whole could therefore be significant.

Personal Liability and Business Risks

What makes this decree particularly severe is the apparent extension of liability to individuals who are deemed to be acting against China's national and economic interests. Indian company executives could potentially face personal sanctions or legal action if their companies are seen to be implementing or assisting Western sanctions against Chinese entities.

Indian companies may also face the risk of being restricted or blocked from doing business with Chinese firms. These measures could additionally apply to Chinese companies and subsidiaries operating in India if they are viewed as distancing themselves from China or complying with Western restrictions.

The Combined Impact of Decrees 834 and 835

Taken together, the two decrees complement each other and give China greater authority over how companies interact and conduct business with the country. The regulations appear aimed at countering manufacturing decoupling from China and slowing the shift toward China+1 alternatives. For India, this represents a critical moment that could significantly impact the country's ambitions of emerging as a credible and reliable alternative to China in electronics manufacturing.

Risks, Opportunities and India's Response

Even as China enforces a rigid business framework, the changing geopolitical environment could create new opportunities for India and other emerging manufacturing destinations. The push to diversify away from China may accelerate further, with countries and companies increasingly seeking alternative manufacturing ecosystems. Investments in EMS manufacturing, PCB assembly, semiconductor packaging, consumer electronics, telecom equipment and automotive electronics could rise significantly as companies attempt to reduce concentration risks associated with China.

India's emergence as an alternative manufacturing hub may increasingly be viewed through a geopolitical rather than purely commercial lens. At this decisive juncture, the Indian government and the electronics industry will need to work together to strengthen domestic capabilities and forge a clear path forward for India's electronics manufacturing ambitions.

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